

UAE introduces labour market testing program

February 2017

The Ministry of Human Resources and Emiratization (MOHRE) has introduced a labour market testing program which requires participating employers to advertise jobs on a new portal referred to as *Tawteen Gate*. The new portal aims to make these roles more accessible to Emirati nationals by requiring certain companies to formally post openings prior to hiring any foreign national employees.

Unemployed UAE nationals can register on the platform and benefit from accessing the priority job listings. The roles need to be posted for at least five (5) days after which the authorities inform the company about any potential candidates through an automated system. Currently the company is not required to interview each applicant, however if they 'accept' an applicant they are required to interview them. The applicant and the company have an option of rejecting the opportunity, however the company must record the reason for rejection from a set drop-down menu on the portal. Companies will learn whether they are subject to the mandatory job posting requirement once they initiate a work authorisation application and prepare a job offer application on the MOHRE's database.

Another initiative in line with the country's long-term Emiratization goals is the establishment of an *Emiratization Partners Club* that is designed to provide incentives to companies who maintain a high level of "quality Emiratization." Companies that are established in mainland UAE (outside of a Freezone) will be selected for membership through an online system which allocates points based on:

- Employment structure;
- Work environment;
- Training/development;
- Innovative employment opportunities; and
- Overall commitment to Emiratization.

Members will then be ranked (silver, gold, or platinum) based on how they score in the above categories and will, in turn, benefit from privileges that include an expedited service on employment related transactions and exemptions from certain MOHRE requirements.

The takeaway

The testing programme is a significant development reflecting the government's intention of achieving improvements to the representation of UAE nationals in the private sector. The UAE is the second country (after Saudi Arabia) to implement a system of labour market testing as part of the work authorisation process. Employers operating in the UAE should note that the requirement comes into operation immediately and incorporate the increased government fees in their mobility planning and forecasting efforts. The current UAE advertising times are relatively short (5 days). In Saudi Arabia the advertising requirements increased to 45 days (from 14 days) only a few months after the initiative was introduced.

Let's talk

For a deeper discussion please contact our team below or your usual PwC contact.

PwC Tax and Legal Services

Jonathan Gibson, Dubai
Middle East Legal Services Leader
+971 (0) 4 304 3424
jonathan.s.gibson@pwc.com

Dean Kern, Dubai
Middle East Tax and Legal Services Leader
+971 (0) 4 304 3575
dean.kern@pwc.com

Anir Chatterji, Dubai
Senior Manager
+971 (0) 4 304 3922
anir.chatterji@pwc.com

Ali Haider, Dubai
Manager
+971 (0) 4 304 3627
haider.ali@pwc.com

